



Luvian



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Cap Table

Capitalization table tracking equity ownership across founding, seed, Series A, Series B, ESOP, and advisor grants. All figures are illustrative projections based on the financial model.

10,000,000 authorized shares

Delaware C-Corp

Par value \$0.0001

01 Equity Summary

AUTHORIZED SHARES

10,000,000

Common stock, par \$0.0001

POST-SEED VALUATION

\$36M

\$28M pre + \$8M raise

POST-SERIES A

\$125M

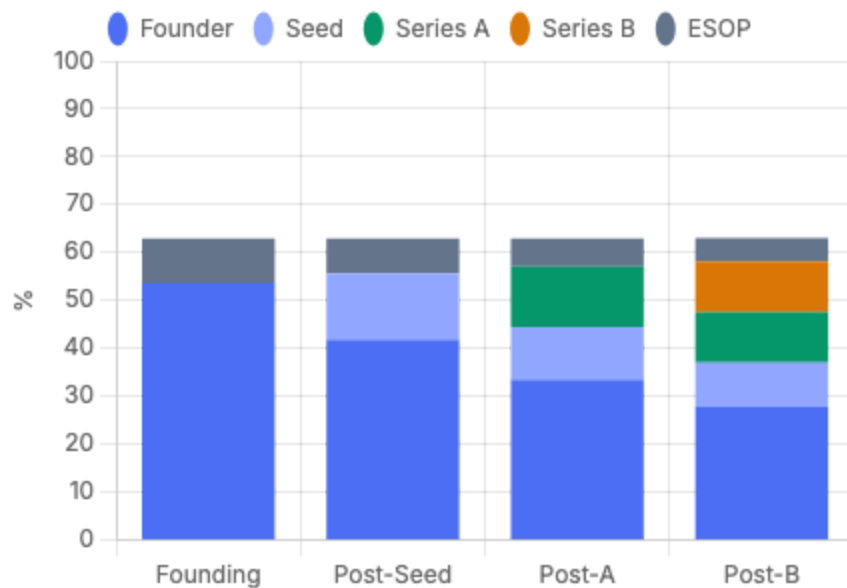
\$100M pre + \$25M raise

POST-SERIES B

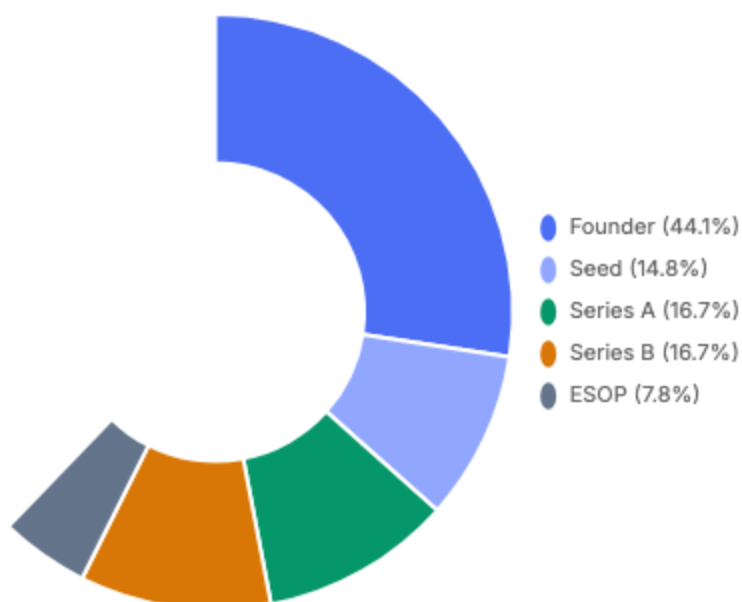
\$360M

\$300M pre + \$60M raise

Ownership Evolution by Round



Final Ownership (Post-Series B + ESOP)



02 Founding Equity

Shareholder	Role	Shares	Ownership	Type	Vesting
Founder	CEO / CTO	8,500,000	85.0%	Common	4yr / 1yr cliff, single trigger

Shareholder	Role	Shares	Ownership	Type	Vesting
ESOP Pool (reserved)	Option pool	1,500,000	15.0%	Reserved	Grants on 4yr / 1yr cliff
Total at Founding		10,000,000	100.0%		

Note: 15% ESOP pool established at founding (pre-seed) to avoid additional dilution at the seed round. This is above typical (10-12%) to cover early hires, advisors, and the two existing team members (SW engineer + PM).

03 Seed Round

RAISE

\$8M

PRE-MONEY

\$28M

POST-MONEY

\$36M

PRICE/SHARE

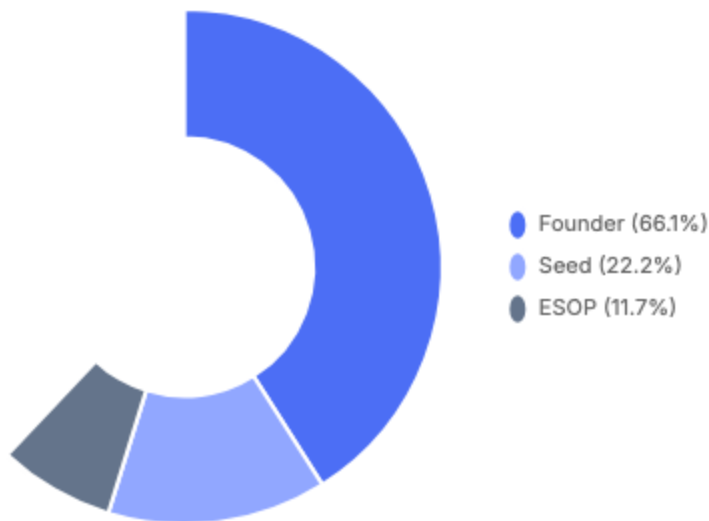
\$2.80

Cap Table After Seed

Holder	Shares	%	Value
Founder	8,500,000	66.1%	\$23.8M

Holder	Shares	%	Value
Seed Investors	2,857,143	22.2%	\$8.0M
ESOP Pool	1,500,000	11.7%	\$4.2M
Total	12,857,143	100.0%	\$36.0M

Post-Seed Ownership



Seed Round Terms

Instrument	Priced equity (Series Seed Preferred)
Liquidation preference	1x non-participating
Pro-rata rights	Yes, for investors >\$500K
Board seat	Lead investor gets 1 board seat (3-person board: 2 founder, 1 investor)
Information rights	Quarterly financials, annual audit
Milestone gate	3+ paying customers, NPS >40
Use of funds	Core team (8 hires), SOC 2, 5 design partners, first revenue

Target Investor Profile

CONFIDENTIAL / SHARED UNDER NDA / NO SCREENSHOTS / NO RECORDINGS

Investor Type	Target Check	Why	Examples
Defense-tech VC	\$2M-\$5M	Domain expertise, defense network	Shield Capital, Lux, Decisive Point
Enterprise SaaS VC	\$1M-\$3M	SaaS scaling playbook, pricing	Bessemer, Insight Partners
Strategic / Corporate	\$500K-\$2M	Customer pipeline, industry access	RTX Ventures, Boeing HorizonX
Angels / Operators	\$50K-\$250K	Fast decisions, operational advice	Former PLM/MBSE founders

04 Series A

RAISE

\$25M

PRE-MONEY

\$100M

POST-MONEY

\$125M

PRICE/SHARE

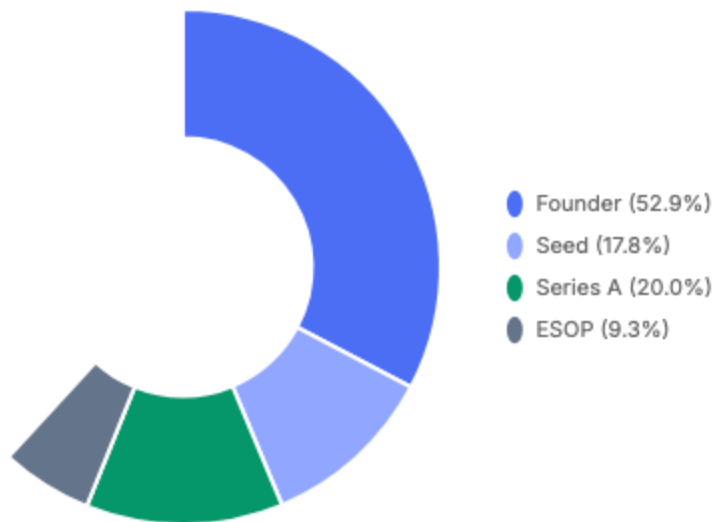
\$7.78

2.8x from Seed

Cap Table After Series A

Holder	Shares	%	Value
Founder	8,500,000	52.9%	\$66.1M
Seed Investors	2,857,143	17.8%	\$22.3M
Series A Investors	3,214,286	20.0%	\$25.0M
ESOP Pool	1,500,000	9.3%	\$11.6M
Total	16,071,429	100.0%	\$125.0M

Post-Series A Ownership



Series A Milestone Gates

Gate	Target	Status
ARR	\$500K+	Projected Y2
Net Revenue Retention	120%+	Projected Y2
Enterprise Pipeline	Clear enterprise pipeline	Pending
Compliance	SOC 2 Type 1 complete, FedRAMP initiated	Pending

RAISE

\$60M

PRE-MONEY

\$300M

POST-MONEY

\$360M

PRICE/SHARE

\$18.67

6.7x from Seed

Final Cap Table (Post-Series B + ESOP)

Holder	Shares	%	Value	Invested
Founder	8,500,000	44.1%	\$158.8M	Sweat equity
Seed Investors	2,857,143	14.8%	\$53.3M	\$8.0M
Series A Investors	3,214,286	16.7%	\$60.1M	\$25.0M
Series B Investors	3,214,286	16.7%	\$60.1M	\$60.0M
ESOP Pool	1,500,000	7.8%	\$28.1M	Reserved
Total	19,285,715	100.0%	\$360.0M	\$93.0M

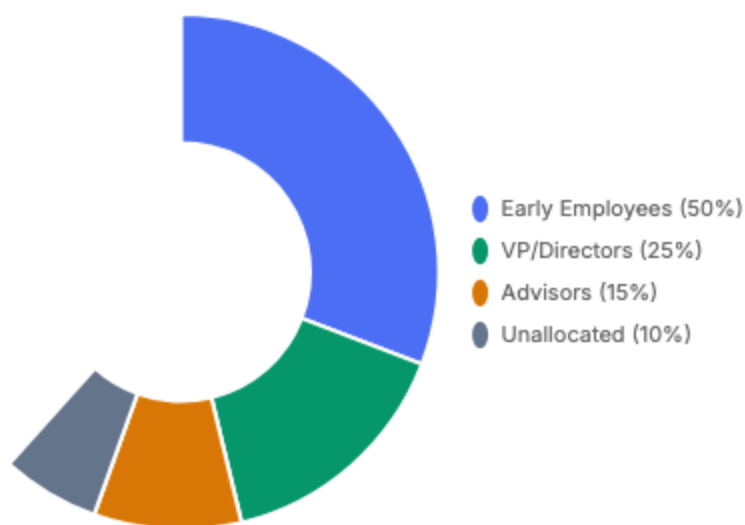
06 ESOP Allocation Plan

ESOP Pool Breakdown (1,500,000 shares)

CONFIDENTIAL / SHARED UNDER NDA / NO SCREENSHOTS / NO RECORDINGS

Category	Shares	% of Pool	% of Company
Early employees (first 8 hires)	750,000	50%	3.9%
VP / Director hires	375,000	25%	1.9%
Advisors	225,000	15%	1.2%
Unallocated reserve	150,000	10%	0.8%
Total Pool	1,500,000	100%	7.8%

ESOP Pool Usage



Proposed Individual Grants

Role	Timing	Shares	% of Company	Seed Value	Vesting
SW Engineer (current)	Already onboard	150,000	0.71%	\$120K	4yr / 1yr cliff
Product Manager (current)	Already onboard	120,000	0.57%	\$96K	4yr / 1yr cliff
Head of Sales	Post-seed Month 1	120,000	0.57%	\$96K	4yr / 1yr cliff
Solutions Engineer	Post-seed Month 2	75,000	0.36%	\$60K	4yr / 1yr cliff

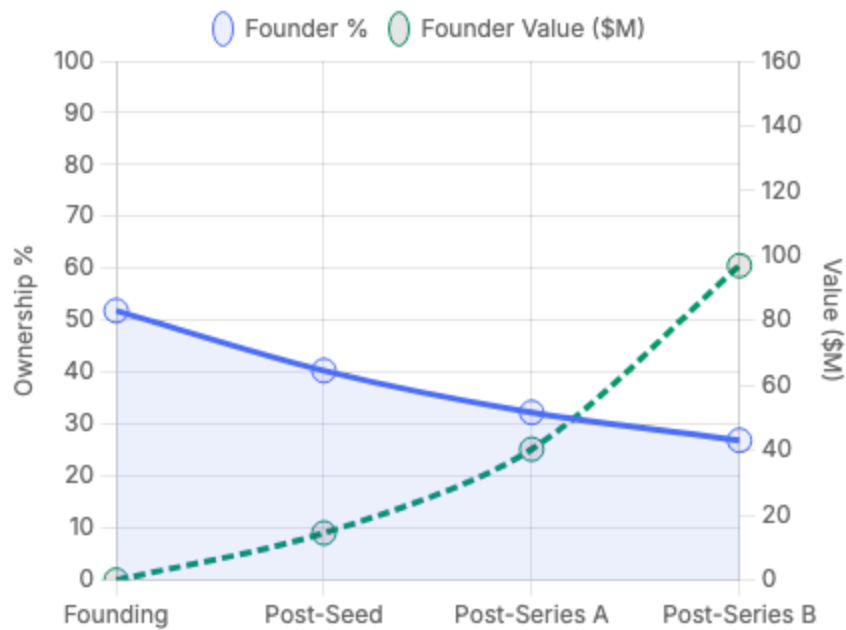
Role	Timing	Shares	% of Company	Seed Value	Vesting
Sr. Frontend Engineer	Post-seed Month 3	75,000	0.36%	\$60K	4yr / 1yr cliff
Customer Success Mgr	Post-seed Month 3	60,000	0.28%	\$48K	4yr / 1yr cliff
DevOps Engineer	Post-seed Month 4	60,000	0.28%	\$48K	4yr / 1yr cliff
Marketing Manager	Post-seed Month 5	45,000	0.21%	\$36K	4yr / 1yr cliff
Backend / ML Engineer	Post-seed Month 6	45,000	0.21%	\$36K	4yr / 1yr cliff
Total Early Grants		750,000	3.56%	\$600K	

07 Advisory Equity Grants

Advisor Seat	Profile	Shares	% of Company	Commitment	Vesting
Defense Procurement	Former DoD program executive	63,000	0.30%	4 hrs/month	2yr / quarterly
Enterprise SaaS	Former VP Sales at \$10M+ ARR SaaS	53,000	0.25%	4 hrs/month	2yr / quarterly
Systems Engineering	INCOSE Fellow or retired chief SE	42,000	0.20%	2 hrs/month	2yr / quarterly
Venture Capital	Operating partner at defense-tech VC	32,000	0.15%	2 hrs/month	2yr / quarterly
AI / ML	ML leader at AI company	35,000	0.17%	2 hrs/month	2yr / quarterly
Total Advisory		225,000	1.07%		

08 Dilution Waterfall

Founder Ownership Through Each Round



Round-by-Round Dilution Detail

Round	Pre-Money	Raise	Post-Money	Dilution	Founder %	Founder Value
Founding	-	-	-	-	85.0%	-
Seed	\$28.0M	\$8.0M	\$36.0M	-22.2%	66.1%	\$23.8M
Series A	\$100.0M	\$25.0M	\$125.0M	-20.0%	52.9%	\$66.1M
Series B	\$300.0M	\$60.0M	\$360.0M	-16.7%	44.1%	\$158.8M

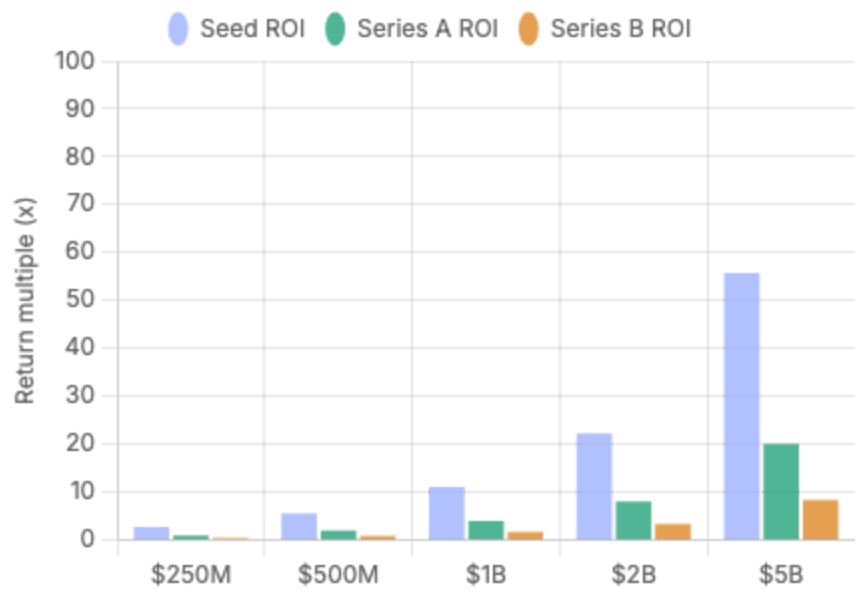
Key insight: Founder retains >44% through Series B, well above the 20-30% typical for sole founders at this stage. This reflects disciplined dilution at each round and the ESOP being carved from the founder's allocation at founding rather than at each subsequent round.

09 Exit Scenarios

Founder Proceeds by Exit Valuation



Investor Returns by Exit Valuation



Payout Waterfall (1x non-participating preferred)

Exit Valuation	Founder	Seed	Series A	Series B	ESOP	Total
\$250M	\$110.0M	\$37.0M	\$41.5M	\$41.5M	\$20.0M	\$250M
\$500M	\$220.5M	\$74.0M	\$83.5M	\$83.5M	\$38.5M	\$500M

Exit Valuation	Founder	Seed	Series A	Series B	ESOP	Total
\$1B	\$441.0M	\$148.0M	\$167.0M	\$167.0M	\$77.0M	\$1B
\$2B	\$882.0M	\$296.0M	\$334.0M	\$334.0M	\$154.0M	\$2B
\$5B	\$2,205M	\$740.0M	\$835.0M	\$835.0M	\$385.0M	\$5B

1x non-participating: preferred investors take the greater of their liquidation preference or their pro-rata share of proceeds. At valuations above \$360M, all investors convert to common. Total invested capital: \$93M.

10 Dilution Simulator

Adjust the sliders to model different round sizes and valuations. The chart updates in real-time.

Seed Raise: **\$8M**



Seed Pre-Money: **\$28M**



Series A Raise: **\$25M**



Series A Pre-Money: **\$100M**



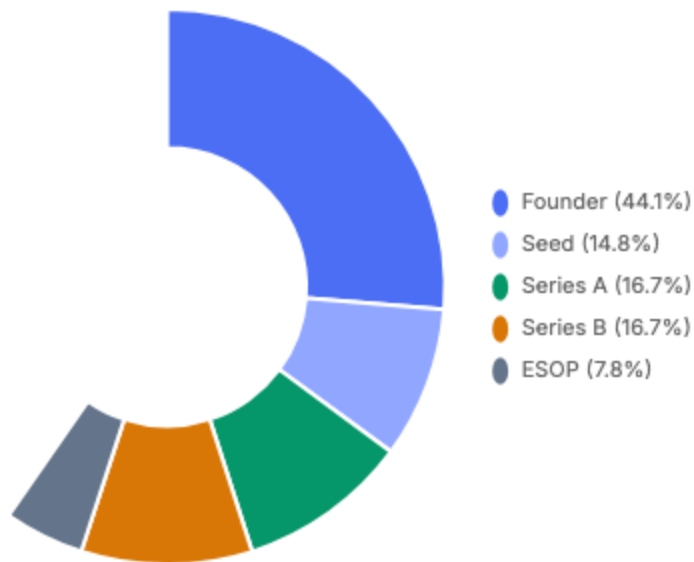
Series B Raise: **\$60M**



Series B Pre-Money: **\$300M**



Simulated Ownership



Simulated Results

Founder ownership: **44.1%**

Founder value (post-B): **\$158.7M**

Total raised: **\$93.0M**

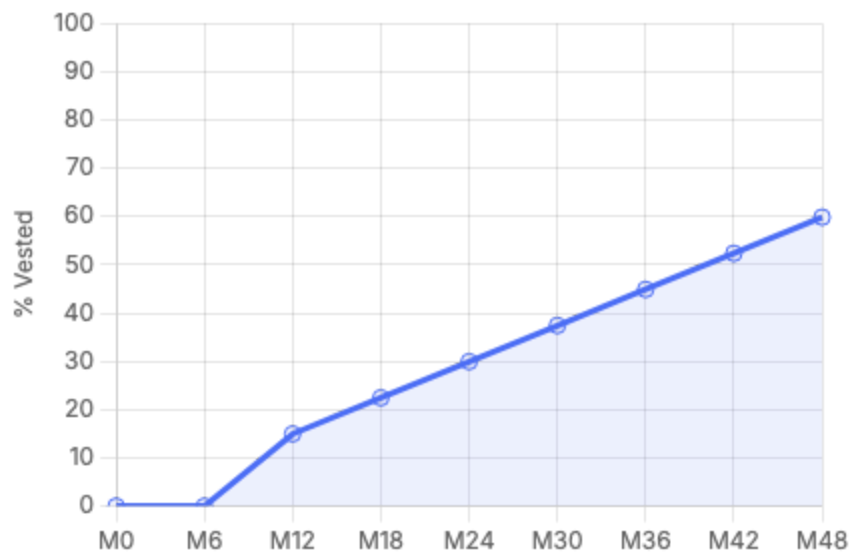
Post-B valuation: **\$360M**

Seed investor ROI (at Series B): **6.7x**

Price/share (Seed vs B): **\$2.80 → \$18.67**

11 Vesting Schedule

Founder Vesting (Illustrative)



Standard Vesting Terms

Parameter	Founder	Employees	Advisors
Duration	4 years	4 years	2 years
Cliff	1 year (25%)	1 year (25%)	None (quarterly)
Post-cliff	Monthly (1/48)	Monthly (1/48)	Quarterly (1/8)
Acceleration	Single trigger	Double trigger	Single trigger
Early exercise	N/A (restricted)	Available (83b)	N/A

12 Cap Table Cleanup Checklist

P0 - Before Fundraising

- ☐ Verify entity structure (Delaware C-Corp preferred for VC)
- ☐ Confirm all equity allocations in Carta / Pulley / spreadsheet
- ☐ Ensure IP assignment agreements signed by all contributors
- ☐ Verify founder vesting schedule and cliff status
- ☐ ESOP pool established and 409A valuation obtained
- ☐ Operating agreement / bylaws current

- ☐ Board of directors established (even if 1 person)

P1 - Before Closing

- ☐ 409A valuation report (for option strike price)
- ☐ Equity incentive plan (EIP) approved by board
- ☐ SAFE / convertible note cleanup (if any)
- ☐ Advisory agreements drafted with equity terms
- ☐ Employee offer letters include equity grant language
- ☐ State franchise taxes current
- ☐ Cap table management tool selected (Carta, Pulley, AngelList)

Luvian Confidential - NDA Restrictions. Illustrative cap table for planning purposes. Consult legal counsel before issuing equity.

Source: docs/private/FINANCIAL_MODEL.md , docs/private/HERO_PROJECT_FOUNDER_COMPANY_BUILDING.md

- Last updated 2026-04-08